CAMBRIDGE IGCSE ACCOUNTING 0452

# Topic 06 - Analysis and interpretation

## Premium Table Answer Booklet

| | | |
|---|---|---|
| 8<br>questions | 2021-2025<br>Paper 2 | Premium<br>readable layout |

Rebuilt for easier reading with structured tables, clear answer sections and highlighted workings. Use beside the matching topical question bank.

# Contents

## Question 01 — 20 marks

**Feb/Mar 2021 Paper 22 Question 4 - 20 marks**

6.1 Calculation and understanding of accounting ratios

### 4(a)

| ratio | working | answer |
|---|---|---|
| gross margin | x whole formula | 45% |
| 114 400 | 1 | |
| trade receivables | 15 400 365 | |
| turnover (days) | x whole formula | 50 days |
| 114 400 | 1 | |

(round up to next whole day)

| | |
|---|---|
| current ratio | 2 850 + 15 400 18 250 |
| = whole formula | 1.34:1 |
| (correct to two decimal places) | 7 430 + 6 190 13 620 |

### 4(b)(i)

If Chaaya’s trade receivables turnover (in answer to (a)) is greater than Sara’s (Sara’s was 28 days) Chaaya’s trade receivables turnover is slower than Sara’s Chaaya may be allowing her credit customers longer to pay

Key point: Chaaya credit customers paying within stated period Chaaya’s credit control policy may not be efficient

Risk: causing Chaaya cash flow problems Sara Key point: result Chaaya having irrecoverable debts Sara Key point: Chaaya trade receivables turnover Sara 28 days Chaaya’s trade receivables turnover is faster than Sara’s

Key point: Chaaya allowing her credit customers time pay Chaaya’s customers may be paying within a stated credit period Chaaya is less likely to have irrecoverable debts than Sara Chaaya’s credit control policy is more efficient than Sara’s

Risk: causing Chaaya fewer cash flow problems Sara

### 4(b)(ii)

Chaaya and Sara may Also valid: different credit periods Chaaya and Sara may use different accounting policies Chaaya and Sara may have different year-ends

Definition: relate one year meaningful look trends

## 4(c)

**Advantages Cash would be received quicker The bank overdraft may be reduced Overdraft interest may be reduced There would be no irrecoverable debts There would be fewer administration costs**

**Disadvantages**

Risk: lose customers prefer buy credit damage relationship Key point: profit due trade discount reduction selling price sales revenue Key point: sales usually one off rather regular trade discount little effect Increased risk of fraud or theft/ increased security measures required

**Recommendation**

## 4(d)(i)

If the business has sufficient profitability/liquidity to continue to offer them employment Benefit: Whether Chaaya afford pay them increase wages

## 4(d)(ii)

Bank manager Trade payables Customers Government departments/tax office Potential buyers of Chaaya’s business/potential partner Investors/potential investors

---

END OF ANSWER

## Question 02 | 34 marks

**May/June 2021 Paper 21 Question 5 - 34 marks**

6.1 Calculation and understanding of accounting ratios

### 5(a)

Trade receivables turnover (days)

| | |
|---|---|
| workings | answer |

| | |
|---|---|
| x | whole formula |
| 191000 | 1 |

Trade payables turnover (days)

| | | |
|---|---|---|
| workings | answer | |
| 7 000 | 365 | 22 days |
| x | whole formula | |
| 120 000 | 1 | |

### 5(b)(i)

Answers to be based on OF answers to (a)

| | |
|---|---|
| Ahu | Omer |
| Has an inefficient credit control system/slower to | Has a more efficient credit control system/quicker to |
| resort to legal action | resort to legal action |
| Offers no cash discount/lower rate of cash discount | Offers cash discount/higher rate of cash discount for |
| for prompt payment | prompt payment |
| Charge no interest/lower rate of interest on overdue | Charge interest/higher rate of interest on overdue |
| Accounts | Accounts |
| Does not make use of invoice discounting and | Makes use of invoice discounting and factoring |

factoring

(Max 2)

## 5(b)(ii)

Answers to be based on OF answers to (a)

| Ahu | Omer |
|---|---|
| Is allowed a longer credit period by trade payables | Is allowed a shorter credit period by trade payables |
| Suppliers offer no cash discount/lower rate of cash | Suppliers offer cash discount/higher rate of cash |
| discount for prompt payment | discount for prompt payment |
| Suppliers charge no interest/lower rate of interest on | Suppliers charge interest/higher rate of interest on |
| overdue accounts | overdue accounts |
| Credit customers take longer to pay | Credit customers pay more quickly |
| Has less liquidity/is less able to pay the suppliers | Has more liquidity/is more able to pay suppliers |
| Is a more established customer so suppliers may be | Is paying quickly in order to establish a good |
| more flexible on credit period taken | relationship with suppliers |

(Max 2)

## 5(c)

| Advantages of employing marketing manager | Disadvantages of employing marketing manager |
|---|---|
| May increase sales and may raise profit | Manager’s salary will increase expenses |
| May improve business reputation/brand image | Increased cost of marketing/marketing expenses |
| Can utilise experience and skills of manager | Manager may not be experienced/effective |
| May increase market share | Increase in sales/profit may be less than salary |

(Max 4)

**Recommendation**

## 5(d)

Establish a credit limit for each customer Issue invoices and statements promptly Improve credit control/maintain good credit control system Refuse further supplies until outstanding balance paid Take legal action if necessary Also valid: cash discount for prompt payment Sell on a cash basis only/reduce credit sales

(Max 3)

## 5(e)

Matching Risk: ensure revenue period matched against costs same Prudence

Decision point: Profit anticipated all losses provided To ensure that profits and assets are not overstated To ensure that losses and liabilities are not understated (Max 1)

Consistency

Key point: ensure methods used consistently one period next Key point: comparison financial statements year (Max 1)

Business entity

Key point: ensure records relate Key point: ensure treated completely separately owner (Max 1)

---

END OF ANSWER

## Question 03

20 marks

### Oct/Nov 2021 Paper 22 Question 2 - 20 marks

6.1 Calculation and understanding of accounting ratios

### 2(a)

$ $

| | |
|---|---|
| Revenue | 160 000 |

Cost of sales

| | |
|---|---|
| Opening inventory | 11 000 |
| Purchases | 109 000 |
| 120 000 | |
| Closing inventory | 8 000 |
| 112 000 | |
| Gross profit | 48 000 |
| Operating expenses | 35 200 |
| Profit for the year | 12 800OF |

### 2(b)(i)

48 000 100

| | |
|---|---|
| Gross margin | x OF whole formula = 30% OF |
| 160 000 | 1 |

### 2(b)(ii)

Increase selling price / reduce trade discount to customers Obtain cheaper supplies / obtain higher trade discount from suppliers Purchase lower quality goods

**Benefit: Change proportion different types goods sold sell higher profit margin**

### 2(c)

22 600 365

| | |
|---|---|
| Trade receivables turnover | x whole formula = 52 days |
| 160 000 | 1 |

## 2(d)

**Advantages Disadvantages**

| [redacted] | [redacted] |
| --- | --- |
| May attract more customers | Additional working capital may be required |
| Profit may increase | May be an increase in irrecoverable debts |
| May improve relationship with customers | May be an increase in administration costs |

**Recommendation**

## 2(e)

11600 365

| | |
| --- | --- |
| Trade payables turnover | x whole formula = 39 days |
| 109 000 | 1 |

## 2(f)

Reduction in cost of sales If goods can be sold the gross profit will increase May reduce selling price to increase sales revenue Could increase range of products to sell

Consider if the additional goods can be sold Increase in quantity / value of inventory Increased cost of storage Additional working capital may be required Increase in amount payable to suppliers each month

**Recommendation**

---

END OF ANSWER

## Question 04 | 34 marks

**May/June 2022 Paper 21 Question 4 - 34 marks**

6.1 Calculation and understanding of accounting ratios

### 4(a)

Gross margin 11 Key point: 112300 12800 72 250 14 650 41900

| | |
|---|---|
| 100 | 37.31%OF |
| 112300 | 112300 } |

Profit margin

| | |
|---|---|
| (41900 OF | 19 820) 22080 } OF |
| 100 | 19.66%OF |
| 112300 | 112300 } |

Rate of inventory turnover

| | | |
|---|---|---|
| (12800 | 72250 | 14 650) 70 400 |
| 5.13 timesOF | | |
| (12800 | 14 650) / 2 | 13 725 |

Current ratio Key point: 14 650 12 700 7125 5375 27 350 500 whole formula

Liquid ratio Key point: 12 700 7125 5375 500 whole formula 1 02

### 4(b)

**Advantages Benefit: able increase sales gain customers reducing selling price Benefit: able increase sales gain customers extra advertising Profit may increase if sales increase The gross margin may improve Can respond to increase in demand The inventory should not lose value**

**Disadvantages Expenses increase/profit decreases due to the increased advertising costs Demand for that particular type of inventory may decrease Inventory may deteriorate over time Goods may be of inferior quality Already has a large amount of inventory May increase storage costs May require an increased bank overdraft/reduce liquidity/decrease liquid ratio Advertising does not guarantee increase in sales**

for recommendation

### 4(c)

Either Accounting methods must be used consistently from one accounting period to the next Decision point: methods changed unless good reason doing Definition: means accurate comparisons made year Key point: profit particular year distorted

## 4(d)

Business reputation/goodwill Reliability of workforce/skills of workforce/ staff morale/working conditions Actions of competitors Government decisions Location of business

END OF ANSWER

## Question 05

**20 marks**

**Feb/Mar 2023 Paper 22 Question 4 - 20 marks**

6.1 Calculation and understanding of accounting ratios

### 4(a)

Gross margin Risk: Cost sales 3750 62 305 7500 58 555 Key point: Gross profit 98 000 58 555 39 445

OF whole formula = 40.25%OF

Profit margin Key point: Profit year 39 445OF 31 188 4630 12 887OF

Rate of inventory turnover =OF = 10.41 timesOF

| | |
|---|---|
| (3750 + 7500) / 2 | 5625 } |

Liquid (acid test) ratio Key point: 9240 5365 5135 10 500 whole formula 0 88

### 4(b)(i)

Answers based on answer to 4 (a) Gross margin has improved

The selling price has increased/trade discount allowed has decreased Cost of sales has decreased/increase in inventory

### 4(b)(ii)

Answers based on answer to 4 (a) The liquid (acid test) ratio has worsened

More funds are tied up in inventory Increase in current liabilities Decrease in liquid current assets

### 4(c)

For reducing selling price Should increase total quantity sold Reduce inventory Should improve rate of inventory turnover Should reduce the risk of un-saleable inventory (damage/deterioration) May reduce storage costs if have less inventory

Risk: increase total cash received sales reduce bank overdraft improve liquid acid Against reducing selling price Would reduce gross margin

Less cash received from each unit sold

Key point: Customer unwilling pay full price future Recommendation

## 4(d)

Need to consider the amount of profit made since the end of the last financial year Key point: Need consider inventory held present date

END OF ANSWER

## Question 06

**20 marks**

**Oct/Nov 2023 Paper 22 Question 5 - 20 marks**

6.1 Calculation and understanding of accounting ratios

### 5(a)

Gross margin 11

| | | |
|---|---|---|
| = | = | 100 = 20.71%OF |

Profit margin

= ( 20 380 - 11325) = 9 055

Return on capital employed 9 055 OF

| | |
|---|---|
| = | 100 = 7.24%OF |
| 125 000 | |

Rate of inventory turnover

= Key point: 6 175 78 130 265 040 12 55 times

OF

| | |
|---|---|
| ( 6 175 + 6 265) / 2 | 6 220 |

Liquid ratio = 992/4 880 = 0.20:

### 5(b)

The gross profit margin will be lower than her competitor’s Risk: Reduction gross profit margin result lower profit increase sales my higher profit

Risk: profit year profit margin reduce increase advertising expenses profit Benefit: year increase gross profit sales extra advertising Benefit: Selling her inventory faster mean sales competitor Needs to sell more inventory to significantly raise profit

### 5(c)

For obtaining a bank loan If business expands profit may increase

Key point: Once loan paid off further liability bank 5 years before loan is due allows time for repayment

Against obtaining a bank loan Interest will have to be paid on the loan Loan interest will lower profit for the year The bank may require security Assets may be at risk if unable to repay loan The loan will have to be repaid Bank may not be prepared to offer a loan

**Recommendation**

## 5(d)

Assess whether loan can be repaid Assess whether loan interest can be paid Assess security available for the loan

---

END OF ANSWER

## Question 07

**20 marks**

**May/June 2024 Paper 21 Question 4 - 20 marks**

6.1 Calculation and understanding of accounting ratios

### 4(a)

Ahmed

**Rent receivable account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2023 | 2023 | | | | |
| Dec 31 | Income statement | 4 800 Apr 1 | Bank | } | 3 600 |
| Balance c/d | 1 200 Sept 30 | Bank | } | 2 400 | |
| 6 000 | 6 000 | | | | |
| 2024 | | | | | |
| Jan 1 | Balance b/d | 1 200 | | | |

### 4(b)

Ahmed

**Disposal of office equipment account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2023 | 2023 | | | | |
| Jan 3 | Office equipment | 3 200 Jan 3 | Provision for Depreciation | | |
| (800 + 600) | 1 400 | | | | |
| Rahat | 1 350 | | | | |
| ____ Dec 31 | Income statementOF | 450 | | | |
| 3 200 | 3 200 | | | | |

Dates

Key point: Calculation depreciation 3 200 25% 800 2 400 600

## 4(c)

| | | |
|---|---|---|
| Capital | Revenue | |
| $ | | |
| expenditure | expenditure | |
| Painting the walls of the storage area | 600 | |
| Shelving for the storage area | 2 115 | } |
| Installation of the shelving | 460 | } |
| Light fittings for storage area | 620 | } |
| Light bulbs for storage area | 105 | } |

## 4(d)

| | | |
|---|---|---|
| ratio | working | answer |
| (to 2 decimal | | |

places)

| | | | | | |
|---|---|---|---|---|---|
| Rate of inventory | (9 000 | 97 000 | 12130) | 93 870 | 8.88OF |
| turnover (times) | = | | | | |
| (9 000 | 12130) / 2 | 10 565 | | | |
| Current ratio | (12 130 + 6180 + 175) : (5500 + 640) | 3.01: | | | |
| = 18 485 : 6140 whole formula | | | | | |
| Liquid (acid test) | (6180 + 175) : (5500 + 640) | 1.04: | | | |
| ratio | = 6355 : 6140 whole formula | | | | |

## 4(e)

The increased inventory may result in goods deteriorating or becoming obsolete Increase in storage costs Inefficient use of storage space

Risk: Increase funds tied up inventory result bank overdraft incur interest charges

END OF ANSWER

## Question 08

**20 marks**

**May/June 2024 Paper 23 Question 5 - 20 marks**

6.1 Calculation and understanding of accounting ratios

### 5(a)

Gross margin: 11 Risk: Cost sales 5 200 51 300 6 500 50 000 Gross profit 97 000 - 50 000 = 47 000

| | |
|---|---|
| Gross margin = | = 48.45% |

Profit margin: Profit 47 000 OF - 23 750 = 23 250

| | |
|---|---|
| Profit margin = | = 23.97%OF |

Inventory turnover: = 8.55 timesOF

| | | |
|---|---|---|
| (5 200 | 6 500) / 2 | 5850 |

Trade receivables turnover

| | |
|---|---|
| 9 550 | 365 |
| whole formula = 41 daysOF | |

Liquid (acid test) ratio Key point: 9 550 1 200 6 000 whole formula 79

### 5(b)(i)

His purchase price has fallen / he has been allowed trade discount His sales mix has changed

### 5(b)(ii)

Whether Ajay will be able to continue in business/continue being able to supply them

### 5(c)

**Advantages Should increase sales / attract new customers May raise profit for the year Should increase rate of inventory turnover Reduces risk of inventory deteriorating / becoming damaged / obsolete Reduces cost of holding inventory (storage, insurance) May improve his reputation**

**Disadvantages**

Risk: reduce gross margin profit profit year profit margins make loss Risk: money coming unit sold liquidity reduced Key point: Customers question quality goods damage his reputation Key point: Customers unwilling pay full price future Risk: better offer cash discount reduce trade receivables Recommendation

## 5(d)

May result in loss if expenses continue to increase Benefit: He able pay expenses suppliers wages they continue increase The business cannot continue indefinitely if this trend continues

END OF ANSWER